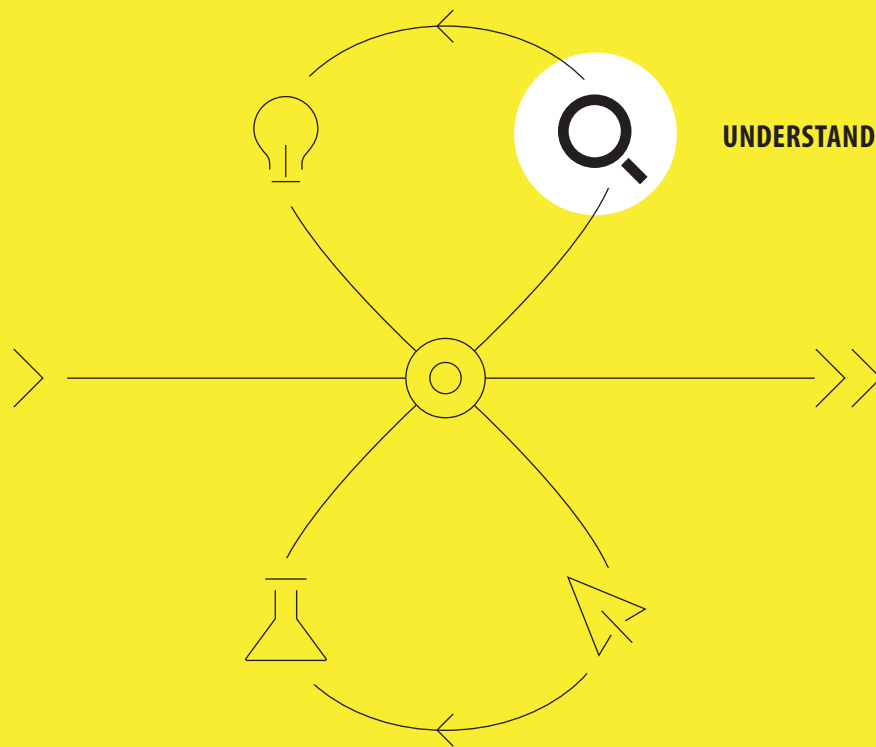


**YEAH, WELL,
THAT'S JUST
YOUR OPINION,
MAN.**

81



UNIVERSITY



THE DESIGN JOURNEY **UNDERSTAND**

UNDERSTAND **YOUR CUSTOMER**

UNDERSTAND **YOUR CONTEXT**

UNDERSTAND **YOUR BUSINESS**

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SEEK TO **UNDERSTAND**

Whether you're designing a change for your company or a new product for someone else, the things you develop are for people, inside or outside your organization. Beyond these people exists a broader context as well as your business model. Understand these, and design for success.

WHERE ARE YOU NOW?

As a designer, you must have a complete understanding of the world in which you do business. This is true whether you're in a startup, a for-profit, or a non-profit. You must know your customer, your overarching economic context (trends, regulations, competition, etc.), and the internal mechanics of your own business. All these comprise your company's DNA.

Why is this important? The biggest and most effective business changes, strategies, and innovations come from finding the answers hidden in the noise. These may exist outside of your comfort zone. In some cases, it is for good reason. But how will you know what's out there unless you take the road less traveled and have a look for yourself?

Mastering understanding is the secret sauce of great design. Designers actively leave their comfort zones, exploring and experimenting with things that others may judge as "ineffective" or "useless." And when they spend time outside of their comfort zones, designers actually create larger and more diverse comfort zones for themselves. Their picture of the world grows richer,

and they are more likely to find new and exciting perspectives which inform their points of view.

But exploration is not just about creating new, cool innovations. Exploring your context and your business model will help illuminate your business's underlying strengths and weaknesses. For example, understanding why your customers also buy from your competitors deepens your understanding of your own business. In fact, your customers' needs almost certainly are not what you think they are! Deep exploration of your customers, context, and business will bring fresh insights. This, in turn, will give you a better sense of how you might make the future work for you.

WHAT'S YOUR EXCUSE?

It may be difficult to get out and explore. It's frightening to leave the comfort of your office building, where everyone agrees and everyone is "right". After all, the internal reports look great. This is especially true for large companies: the need to execute perfectly leads to a disproportionately strong current perspective. It becomes easier to execute when you can divide the world quickly into things that "fit" and those that don't – into "right" and "wrong." This attitude is easily and dangerously attached to

reputation. People who are always right are revered; the ones who dare to be wrong are ostracized. But ask yourself: would you rather be right, or successful? The real cost of exploring usually is minimal: it often boils down to time. Nothing more. Nothing less. To a designer, a situation where everyone agrees and has the same opinion is a huge warning sign. There should be a balance between business as usual and exploring the world outside the business.

DON'T STRESS!

It's normal to feel uncertainty and stress while transitioning to this new explorative approach. Gathering conflicting and qualitative data requires a new way of thinking. It's vital to defer any analysis and judgment until after you've taken the time to simply observe. It'll be very tempting to try to immediately fit new information into the existing perspective.

Over time, you'll learn how to work with the new insights and information. You'll develop an instinct for going beyond the comfort zone, balancing comfort with being uncomfortable. You'll experience a constant flow of new information about how the world is affecting your business as well as how your customers behave, what their struggles are, what they like and don't like. The better (and more) you observe your customers, your context, and your business, the more you'll inform your own point of view, and the better your design journey will be. It's that simple. ■

UNDERSTAND YOUR CUSTOMER

Ultimately, the most important thing to understand is your customers. If you don't know what value means to them, you can't stay relevant to them. Assuming you know your customers is really dangerous. Get out of the building and find out what their needs are. You won't be sorry you did!

UNDERSTAND YOUR CONTEXT

It's also necessary to understand the field you're playing on. What are the key drivers that are influencing your business? What are the trends? What are the expected changes in economic and political climate? What are the big unknowns? Who else is playing on the field with you? Who are the competitors, and what new players exist? The world is changing. As a designer, you'll need to change with it.

UNDERSTAND YOUR BUSINESS

To make the changes you seek you must intimately understand how your business works. How do you create value? Who is your customer? This may seem like a no-brainer, but in practice it's not always clear exactly how the engine of any business actually creates, delivers, and captures value. If you can grasp and define how your business works, you can also unpack other business models, such as those of the competition. This is not so that you can blindly follow competitors: it's to understand how (and if) they solve problems in other ways.

MASTER **OBSERVATION**

Observation will influence the way you think about your customers and will help you understand them better. It will inform your point of view and help to validate or invalidate your assumptions. But, like anything, there are right ways and not-so-right ways to observe the world around you.

Think about this: you sit down to a cup of coffee or tea. How would you open your sugar packet? Okay, feel free to read on. We'll get back to the sugar packet in a moment.

Observation will influence the way you think about your customers and will help you understand them better. Observation will change the way you innovate. But, just like anything, there are right ways and not-so-right ways to observe the world around you.

As you watch your subjects (your potential customers), your goal is to discover their latent needs, desires, and ambitions – the kinds of things they may not even know they need or want. These are often things that people would not be able to tell you they want. Does the runner run just to get fit? Perhaps he is running so that he doesn't feel guilty eating pizza on the weekends. Watch him for a while and on different occasions, and you just might find out.

BE A FLY ON THE WALL

A good way to think about observation is to act like a fly on the wall, observing people in their natural habitat, finding the key moments in their lives. The decisions your customers make on a daily basis are the important ones. After all, it's their decisions that lead them not only to do what they do today, but also will affect what they choose to do tomorrow. And, just as a researcher wouldn't tell a test subject that a placebo is just a placebo, you also shouldn't tell your subjects what you are trying to learn from them. Just watch for a while. You want people to act naturally and unconsciously, as if you're not there.

DON'T GO EMPTY-HANDED

Before you venture out to observe your customers, you'll need to do a bit of planning. First off, define the subject of your observation before you go. What people and activities or behaviors do you plan to observe? Preselect the environment or location you want to observe.



Where will your customers be at different times of the day? This, of course, is critical as people engage in different activities throughout the day. If you're keen on observing people exercising, for instance, plan to go the park, gym, track, etc., in the morning and evening. Don't forget to bring materials to record your findings as notes, pictures, sketches, and videos. It would be shame to forget about key moments. Or worse, not be able to share them with your team.

Finally, when you start exploring and observing, leave your point of view and assumptions at the door. Don't judge, just soak it in. And, the answer to the sugar packet question: you shake it before tearing it open. ■

THINK LIKE A DESIGNER

You can learn to think and work like a designer. It is about switching between different perspectives to find solutions. As a designer, the three most important perspectives are your own perspective, your business's perspective, and your customer's or society's perspective. When my team engages with design jobs, we need to know the customer's perspective. I want to ensure we are on the same page. Part of that perspective includes an understanding that your customers are investing time, money, and effort to make money. If we don't share this perspective there is little point to joining each other on a design journey.

Design thinking is more relevant today than it ever has been. Increasingly, it's becoming more important to design and to be agile, flexible, and adaptable. The world is changing faster and faster. As part of that change, people have more access to information – and share more than ever before. Whereas knowledge used to be the most important quality in business, today, the ability to search for and find opportunities in uncertainty has supplanted knowledge as the most important quality of business people.

Ad van Berlo
Chairman,
VanBerlo Group



DON'T GO EMPTY-HANDED
BRING MATERIALS TO RECORD, NOTE,
TAPE, AND SKETCH YOUR FINDINGS.
THAT WAY YOU'LL REMEMBER EVERY
SMALL DETAIL MORE EASILY. AND IT
MAKES IT EASIER TO SHARE THEM
WITH YOUR TEAM.



MASTER QUESTIONING

Along with observation, questioning is paramount to understanding what your customers care about and why. Questioning will lead to a richer picture of your customers' lives and will inform your point of view. And as with observation, there are a few simple rules to follow to get the insights you're looking for.

QUESTION WHAT YOU SEE

Observing your customers in their natural habitats will tell you a lot about what they do, what they care about, and what decisions they make. However, observing your customers won't necessarily tell you why they make the decisions they make. In fact, observing your customers without questioning them will eventually lead to compounding assumptions.

In the previous example of the runner who longs for pizza, you would need to observe that person for a long time and over many days before you get to the core of why he runs every day. You might even generate new assumptions based on different routes he takes. However, if you were to stop him or meet him and ask questions about his lifestyle, you would very likely begin to deduce what running (and pizza) mean to him. Added to the data you compiled while watching him run, through questioning you would create a much richer picture – one

that would certainly provide you with a deeper understanding of why he runs in the first place.

ASKING THE RIGHT QUESTIONS

It's not about the answers you get, but about asking the right questions. The right questions will always lead to interesting and telling conversations. So, how might we ask the "right" questions? When you really want to understand the current situation, avoid yes/no questions (i.e., close-ended questions) as well as product mentions: you'll have better conversations and will ultimately stand to get to the heart of what really matters.

Whenever possible, observe and question the same customers. Observe them first, and learn through their actions instead of their opinions. Then ask them questions about the choices they make and why they make them, including why they bother at all to do what they are doing. Then watch them again.

In the aforementioned example, you could ask the runner whether he prefers pepperoni or Hawaiian-style pizza. However, you could also simply watch what he orders (but if you're trying to understand why he prefers one over the other, you'll have to talk to him).

RULES OF THUMB

- People will lie to you if they think it's what you want to hear.
- Opinions are worthless. Opinions change based on context and offer no proof of what's real.
- People know what their problems are, but they don't know how to solve those problems.
- Some problems don't actually matter. To a hammer everything looks like a nail. But not every problem requires a solution.
- Watching someone do a task will show you where the problems and inefficiencies are, not where the customer thinks they are. ■

SOME BAD QUESTIONS:

(fixable by asking about their life as it is)

DO YOU THINK THIS IS
A GOOD IDEA?ONLY THE MARKET CAN
TELL IF YOUR IDEA IS
GOOD. THE REST IS
OPINION.WOULD YOU BUY A PRODUCT
WHICH DID X?THE ANSWER TO A
QUESTION LIKE THIS IS
ALMOST ALWAYS "YES."HOW MUCH WOULD YOU
PAY FOR X?AS BAD AS THE LAST
ONE AND LIKELY TO
TRICK YOU BECAUSE
THE NUMBER MAKES IT
FEEL RIGOROUS AND
TRUTHY.**SOME GOOD QUESTIONS:**

WHY DO YOU BOTHER?

GREAT FOR GETTING
FROM THE PERCEIVED
PROBLEM TO THE REAL
ONE!WHAT ARE THE IMPLICATIONS
OF THAT?HELPS DISTINGUISH
BETWEEN REAL
PROBLEMS AND ANNOYING
PROBLEMS.TALK ME THROUGH THE
LAST TIME THAT HAPPENED.YOUR HIGH SCHOOL
WRITING TEACHER MAY
HAVE TOLD YOU THAT
GOOD STORIES ARE
MEANT TO "SHOW, NOT
TELL."For more background, read:
The Mom Test by Rob Fitzpatrick**EVERYBODY LIES**

People say: Don't ask your mom whether your business is a good idea or not. Your mom will lie to you (just 'cuz she loves you). In fact: everyone you'll ask will lie (at least a little). The point is you shouldn't ask anyone this question, because it's useless. It's not their responsibility to show you the truth. It's your responsibility to find it.

Rob Fitzpatrick wrote *The Mom Test* after his own (bad) experience: "We'd spent 3 years building social advertising tech and run out of investor money. I'd been talking to customers full-time for months. And then I learned I'd been doing it all wrong!"

In his book he describes three simple rules to live by when asking the right questions:

1Talk about the **customer's life**
instead of your idea**2**Ask about **specifics** in the past
instead of generalities or opinions
about the future**3**Talk less and **listen more****Rob Fitzpatrick**Founder at Founder Centric
Author, *The Mom Test*

THE CLEAR BLUE MOMENT



A team from a large manufacturing company for juvenile products spent time exploring their customers' journey. Their a-ha moment happened when they realized that the journey started much earlier than they had traditionally assumed. Parents begin planning purchases for products not at the moment of birth, but at the moment they find out they're pregnant – or even before that! Mapping this out on paper allowed the team to finally address this issue.

FIRST IMPRESSIONS

When they adopted Design Thinking, a team at a large hospital in the Netherlands decided to have a look (with their own eyes) at how people experienced visits to the hospital. They took a camera and walked the path of the patients. Besides finding out the parking garage was incredibly dark and hard to navigate, they noticed that the first thing patients saw when parking was a billboard for a fast food restaurant. Not at all what they had expected!

READ MY FILE, STUPID!

Doctors thought the biggest pain their patients felt was the long waiting lists at the doctor's office. When a doctor asked about this pain during a patient visit, the patient said, "That doesn't really bother me. But, next time I'm here for an appointment, please read my file beforehand. And my name is not Susan!"

GET STREET SMART

An insurance company assumed there was a huge gap in the market and formulated a great plan to position themselves in that gap. But first, they wanted to challenge this assumption. Two people were sent out on a scooter with a camera. They gathered as many responses from people on the street as they could in an hour. When the results were showed to the client, the unpolished "first reactions" of potential customers forced them to reconsider their assumptions.

SHOPPING PARADOX

A startup wanted to build an app that would help mothers have an easier and better experience when shopping for groceries. More insights were needed in order for the founders to know exactly what to build.

They first started a dialogue with potential customers about their grocery shopping habits. They compared these conversations with what they saw while observing the group shopping for groceries.

Although the mothers were very sure about their daily shopping routines, the truth turned out to be different! When asked, all of the mothers said they shop for healthy, versatile products. However, when they got the store, most of them abandoned their shopping lists and prioritized price and offers!

Are these little white lies? No matter. What's important is that if you're looking for valid insights, observing is as important as asking (the right question). Don't believe everything your customers say!

CLEANING GRANNY'S HOUSE?

Lowering the hourly rate for house cleaning was the key strategy of an elderly home care company. After visiting several grandmothers, it became clear that the value was in the attention grandmothers received, not in the clean house.

As a result, the company started giving away iPads to grandmothers instead. This enabled them to connect with their grandchildren, and it offered them services through the company's app.

**THE TRUTH IS
RIGHT IN FRONT
OF YOU, IF YOU
JUST CHOOSE TO
SEE IT.**

**HOW DESIGN
THINKING
HELPS YOU TO
UNDERSTAND
YOUR
CUSTOMER**





CASE STUDY

CONNECT TO BETTER

WAVIN LOVES PLUMBERS

**I COULDN'T BELIEVE BUILDING YET ANOTHER
FACTORY WOULD HELP US IMPROVE BUSINESS
RESULTS. I WANTED TO EXPLORE MORE OPTIONS
EVEN IF IT MEANT GOING AGAINST THE GRAIN.**



Wavin, a large manufacturer (b2b) of plastic pipes used mainly for drainage and water supply purposes, had a strong position for years in the Turkish market. In 2013 the company's market share dropped, moving it out of the top 3. Wavin's plastic pipes were perceived as commodities and competition was based only on price. The CEO asked: How can we regain our position as a well-known market leader?

Richard van Delden
Executive Director, Supply
Chain & Operations

August 2013: Wavin wanted to become the leader in the Turkish market. The local management team took on the assignment to come up with a plan. A business plan.



September 2013: Wavin wanted to build a factory near Istanbul. The current factory in Andana was far away from Turkey's most populated city, Istanbul. It was thought that a new factory in Istanbul would get Wavin back on track.



LET'S BUILD A FACTORY!

Given the CEO's challenge, the sales team crunched some numbers and came up with what they believed to be a viable solution: build a new factory. From the sales team's perspective, building a new factory to manufacture pipes closer to the growing market in Istanbul would enable the company to compete on price. To help support its point, the sales team submitted a business plan to the CFO as well as Richard. The race was on to get it done.

MORE CAPACITY? REALLY?

Richard van Delden: When I first saw the business plan for the €60M factory, I was shocked. I was handed a detailed description of how a factory built in Istanbul could produce and sell pipes at a lower price. With enough production capacity nearby, would another factory really help us to regain market share? How will



WAVIN **DISCOVERING** A NEW FUTURE

October 2013: An internal memo from the CEO starting to focus on the customer.

Talking to a plumber in the street, Richard realized that no plumber is familiar with the Wavin brand.

October 2013: Sanity check! If Wavin was to understand its customer and their job-to-be-done, could that info be used to create more options to grow their market share?



this option affect our margin? Sales was convinced they needed to be able to produce close to the main market and have stock on hand. “Our customers want products now at the lowest price possible!” I wanted to explore other options. Most of all, I wanted to understand what our customers were buying and why.

WE DON'T KNOW OUR CUSTOMER

Richard: One day while parking my car in Amsterdam I came across a construction site where I saw Wavin products. I sparked up a conversation with one of the plumbing contractors onsite, who stated: “My clients want the best quality, but they don't know Wavin.” A light bulb went off in my head: “We don't know our customers!”

SANITY CHECK

Richard and the CFO Andres Capdepon made the bold decision to first understand what their customers really wanted and needed before making a decision about what to do next.

SAFARI

To learn from their customers, a team of Wavin Turkey employees, as well as Richard and Andres, visited construction sites where they could observe customers in their natural (work) habitats. The team gathered lots of great insights during their week of visits. Together they learned that there was a huge difference in the quality delivered by plumbers onsite due to misuse of equipment and materials. The team also learned that distributors loved the in-store branding. And, just as important, distributors do more than sell and distribute pipes. They also play an important social role in connecting plumbers. As the team asked more questions of the plumbers, contractors, and distributors, they uncovered hidden knowledge – which prompted even more questions.

A-HA! (NOT THE CUSTOMERS YOU THINK THEY ARE!)

After the site visits, some of the customers were invited to a local hotel in Istanbul to meet the project team and to provide feedback



A-HA:
PLUMBERS ARE
OUR REAL CLIENTS



Get out of the building. A special Wavin team went on safari to visit construction sites. Observe and learn what plumbers and installers are dealing with.

January 2014: Wavin realized that mechanical contractors were not their customers. They could not offer a value proposition to them. But that could mean a world of difference for plumbers.

Finally, the hard decision was made to cancel construction of the factory altogether, since it would not help them reach their goal. This meant a lot of disappointment for team members who were involved drawing up plans for the factory.

June 2014: Wavin opened their (first) academy in Turkey. Now that they have proof of concept, they know who their real customer is and how to create value (with their customer). Wavin is ready to scale the academy to other locations.

on various ideas generated by the team. The plumbers were really interested in everything that Wavin could do to help them do a better job and deliver higher-quality results. The team's most important discovery was that the plumbers wanted professional how-to videos, product manuals, and direct connections with Wavin experts even more than they wanted lower prices. Providing these services would make Wavin competitive and deliver better-quality results to their customers. This was a real a-ha moment for the Wavin team. They used this insight to design a new community-driven approach: they would help their customers become better plumbers by sharing knowledge (and tea) with each other. This approach turned into the (free) Wavin Academy.

SHARING KNOWLEDGE

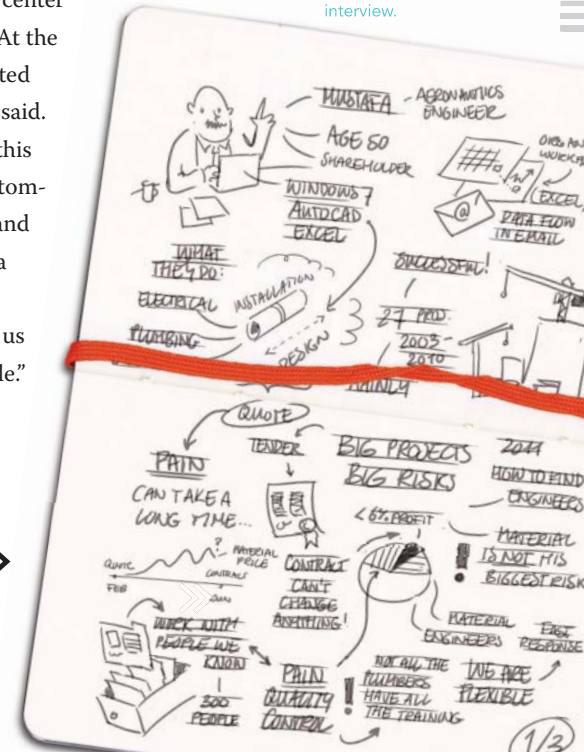
The first prototypes of the Wavin Academy proved a success. As such, the project team decided to build the Wavin Academy on

the production site in Adana, Turkey. The center opened a few months later, in June 2014. "At the moment more than 7,000 people have visited the academy (see Facebook page)," Orhun said. "When I joined the Turkish team, I knew this was the way to better engage with our customers. We teach them, we learn from them, and we build better relationships in ways that a factory would not. In short, we've become important to our customers – and they to us – in ways that we never knew were possible."

THE MORAL OF THIS STORY IS . . .

Richard: While the factory may certainly have been one good option to grow our Turkish market share, we realized »

An example of sketch notes made during the observation and the interview.



WAVIN **DISCOVERING** A NEW FUTURE

WHAT WILL WE LOOK FOR

An example of questions to be asked during interviews as targets for observation.

OFFICE

HOW WELL ORGANIZED IS THE BUSINESS?

DO THEY USE COMPUTERS + SOFTWARE?

HOW MANY PEOPLE DO YOU SEE AT WORK?

WORK SITE

HOW DO THEY APPEAR TO BE FEELING?

WHAT ARE PEOPLE DOING?

WHAT DOES EQUIPMENT LOOK LIKE? MATERIALS?

INTERVIEWS

BOSS

HOW DO YOU RUN PROJECTS?

WHAT WORKS WELL?

WHAT ARE YOUR BUSINESS GOALS?

WHAT IS YOUR BIGGEST CHALLENGE?

ASK ABOUT BUSINESS HISTORY

WHAT DOES SUCCESS LOOK LIKE?

WHAT DOES DISASTER LOOK LIKE?

HOW ABOUT 3 YEARS FROM NOW?

YOUR PEOPLE NEED FOR SUCCESS?

ENGINEER

WHAT ARE HARD JOBS?

WHAT ARE EASY JOBS?

WHAT DOES A GOOD DAY LOOK LIKE?

YOUR FAVORITE JOB? WHY?

that the business plan for the factory was based on assumptions about the market and our customers' jobs, needs, and wants. We knew that there were other options worth exploring as well. So, rather than spend time arguing about the one option on the table, we decided to first validate our assumptions and learn from our customers first hand. We got out of the building.

By doing this ourselves we learned more than we would if we had simply hired a firm to do a market study for us. In meeting our customers on their turf, we uncovered hidden context and meaning and came up with new questions based on what we learned. The answers to these questions, of course, led to further insights about our customers and the commercial plumbing market in Turkey. We also built lasting relationships with the people who install and use our products.

At the end of the day we invested a few hundred thousand dollars in the first Wavin Academy instead of the tens of millions of dollars we were prepared to pour into a factory. We now have a distribution center in Istanbul, which is closer to our customers. And, with the Wavin Academy, we have a brick-and-mortar space where we can interact with our customers and which ultimately helps to strengthen the Wavin brand in their minds. Design thinking is at the heart of our business now. ■

The brand-new Wavin Academy in Turkey. This was such a success that it is the model for all future Wavin Academies to open worldwide.

UNDERSTAND >> CASE >> WAVIN LOVES PLUMBERS

**PLUMBERS LOVED
THAT WAVIN COULD
HELP THEM DO A
BETTER JOB.**

UNDERSTAND **THE CUSTOMER**

Once upon a time there was a business. That business really understood its customers. Because of that, the products and services of the business became popular, and it started to grow. Managers came in, processes were set up, and systems were put in place. Slowly, curiosity gave way to efficiency.

For a while, the business kept going well: customers continued to buy its products, and the value proposition stayed relevant. But then, one year, sales started to take a dive. None of the managers had a clue why. It didn't make sense: the spreadsheets never predicted this would happen. According to what the managers knew, customers should still have been buying the product. Except they weren't. The company had become complacent, hopelessly out of touch with the customer.

WE'VE ALL SEEN THIS STORY

In hindsight, it's easy to say that this is not how to run a business. Yet it happens everyday. Business books and articles are littered with stories about once-famous companies that went bank-

rupt because they couldn't change: retail warehouses, record companies, telcos, publishing houses, etc. So, why do businesses fall victim to outmoded systems and procedures?

There is a natural tendency to codify what you know about customers, so that the knowledge can be scaled and

decision making can become easier. Putting such systems in place is not a bad thing, as long as they're continuously tuned to take into account today's reality. But tuning must be done by humans, not the systems.

DARE TO ASK QUESTIONS

We put our trust in managers who specialize in something and shrink away from asking questions for fear of sounding ignorant. History, however, shows that courage and persistence in asking design-minded questions — like “why?” and “what if?” — set the foundation for discovery and innovation.

In addition to being overly deferential to experts, we also are overly concerned with looking like an expert to our customers. Asking them a question feels embarrassing and scary. What if your customers no longer trust you? Aren't you supposed to know everything already? Will they continue to buy your product?

Interestingly enough, in almost every case the opposite is true. By asking honest questions of your customers — questions that aren't focused on making the sale or showing off knowledge, but are

THE FUTURE IS AT ODDS WITH THE CORPORATION.

// Grant McCracken,
Cultural Anthropologist

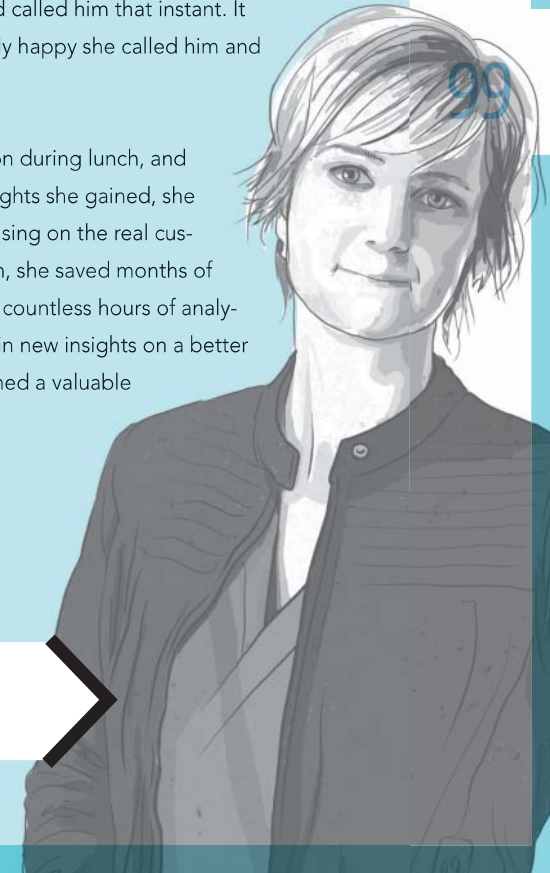
JUST PICK UP THE PHONE!

We were working with a home care organization. The CEO had an idea that involved a new customer segment: hospitals. She wanted to do two months of desk research. We told her not to wait, but to understand this customer segment better immediately. That is, don't rely on desk research; instead have real-life conversations.

I was standing next to her and suggested she call the CEO of a hospital that was already in her network. Feeling a bit of pressure, she picked up the phone and called him that instant. It turned out the CEO was really happy she called him and invited her to lunch.

They had a great conversation during lunch, and because of the customer insights she gained, she understood she was not focusing on the real customer need. In just one lunch, she saved months of inefficient desk research and countless hours of analysis time. Not only did she gain new insights on a better opportunity, she also deepened a valuable customer relationship.

Maiike Doyer
Strategy Designer



genuinely intended to get a better understanding of who they are and what they need – your customers will feel appreciated.

EVERYBODY LIES (EVEN IF THEY DON'T MEAN TO)

Real observation is extremely important. Learning to understand body language, facial expressions, and behavior will help you paint a much clearer picture. That's also the reason why you, as the designer, must do this yourself. Be present in interviews and observe behavior yourself. Allow your own brain to make the connections and see the patterns directly. Per Fitzpatrick, "Watching someone do a task will show you where the problems and inefficiencies really are, not where the customer thinks they are."

Read more
about Rob
Fitzpatrick
in "Master
Questioning"
on page 88

DEVELOP THE HABIT

For designers, observing and asking questions are daily habits of practice. When you start to notice more about the world around you, you start to pay attention to different details and quieter signals. By asking questions instead of beginning with statements, you actually become more curious. Your brain itself will adapt to this new curiosity and begin to make more interesting connections between observation, questioning, and analysis.

You'll start to see the patterns that others miss. Your intuition will develop, and you'll see things your customers need even before they do. ■

TOOL CUSTOMER JOURNEY



PERSONAL

map customer insights



± 45 MIN

session



3–5

people per group

The Customer Journey is a tool to help you get insight into, track, and discuss how a customer experiences a problem you are trying to solve. How does this problem or opportunity show up in their lives? How do they experience it? How do they interact with you?

MAPPING THE CUSTOMER EXPERIENCE

Mapping this journey will provide you with insights into how customers experience a product or service, as well as how they might be better served or even delighted. This is especially true when co-creating the journey together with your customers or when validating your assumptions with them. What are the circumstances? How do customers feel throughout? What are the moments when the experience can best be improved?

NON-LINEAR

Customer journeys are not linear. A customer can jump from one phase to another depending on many factors. They interact with some touchpoints and miss out others. It is your job, as a designer, to understand the moments when customers engage so that you can design better experiences for them in the future. This tool helps in looking at your products and services through the lens of the customers.

Of course, no customer journey is totally complete or made without assumptions. Mapping the customer journey is based on the

knowledge and insights of your team. This tool simply helps you understand and explore from the customer's point of view.

BACK TO REALITY

The Customer Journey Canvas helps make things real. Through the mapping exercise you can identify where customers get stuck, where they have great experiences, and why. One outcome of using this tool with your team will be the so-called low-hanging fruit that you can deliver on immediately. Once you have co-created and assembled the customer journey maps, you can add real customer data gathered through customer safaris, interviews, and feedback. This will enable you to make informed decisions based on reality.

The customer journey is relevant for everyone. Everyone on the team, and in your company, must understand what your customers experience, how they feel, what they struggle with, and how you can improve the experience. The underlying goal: to solve our customers' problems and make them happy. ■

PERSONA

Start with defining the customer personas that you are creating the journey for. Be specific (e.g., name, age, occupation, marital status).

TOUCH POINTS

What are the different moments of interaction with the customer (e.g., in a shop, online, via webinar, by phone, mail, or in contracts)?

CUSTOMER JOURNEY CANVAS

CUSTOMER NEEDS

KEY MOMENT

TOUCH POINTS

CUSTOMER SATISFACTION



BY DESIGNABETTERBUSINESS.COM

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<http://creativecommons.org/licenses/by-sa/4.0/> and a note to Creative Commons.
 111 Second Street, Suite 300, San Francisco, California, 94102, USA.

MOOD

What is the customer's mood at that very moment? Are they happy, frustrated, angry? What in the moment makes it so?

TIMELINE AND STAGES

Define at least 5 moments in the journey. What is the time span? What is the step-by-step experience for the customer? How much time has passed in the journey? Don't overcomplicate: test with customers (see page 86) to see what to adapt.

CUSTOMER NEEDS

What is the job the customer wants to get done in each of the stages? For example, if your customer seeks to identify the company they want to work with, we need to understand the various touch points. What are the questions customers have at each point?

**DOWNLOAD**

Download the Customer Journey Canvas from
www.designabetterbusiness.com

**DOWNLOAD**

Download the Persona Canvas from
www.designabetterbusiness.com

101

CHECKLIST

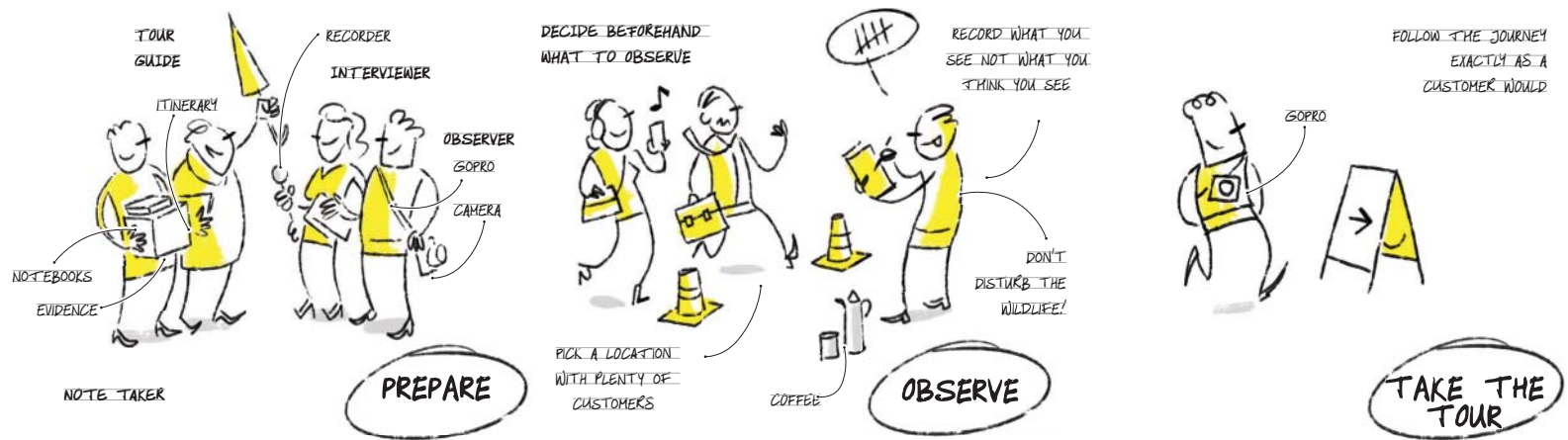
- ☐ Is the persona specific enough?
- ☐ Is the journey is complete? Are there any moments missing?
- ☐ Ask yourself where the journey really starts and ends.
- ☐ You can't think of categories you left out.

NEXT STEP

- > Validate your assumptions with a Customer Safari (see page 102).

EXAMPLE CUSTOMER SAFARI

The Customer Safari is the best way to meet your customers in the wild. Hold your horses – don't talk to them right away! You will learn the most while observing them in their everyday lives; interviews and questions come later. Watch out! Your customers might lie to you.



1 ADOPT THE RIGHT MINDSET

The key rule for a safari is to be prepared. Part of that preparation is filling in the Customer Journey Canvas (page 100). What are the assumptions you want to test? What are the questions you want answered? Make sure you have the right team together and that everyone has a curious mindset. Be aware that your existing mental model is coloring your perception. **Doing this beforehand allows you to deviate later.**

2 START WITH THE OBVIOUS

Having trouble getting started? Which customers to interview? What is a good location? Start with the obvious: interview existing customers. If you don't have any existing customers yet, go interview some customers of a competing product or service. The point is that there is no "perfect" customer to observe or interview: in the beginning everything is new.

3 DO IT YOURSELF

Sometimes finding a place to observe your customers is not enough – to get a feel for what they see and experience, it can be really worthwhile to take the tour. **Just grab a notebook and a camera or phone and follow the path a customer would take.** What do you see? Is there anything interesting there? To spice it up, ask customers to walk the path themselves, recording their experience, or take a customer with you.



4 WHAT TO LOOK FOR

When interviewing and observing, keep an eye out for those things that contrast strongly with your expectations. Try to find the reason why the customer gives that answer. **Their thinking and feelings might give you an inroad to new perspectives or knowledge.** You are trying to find both the “normal” and the “outliers” and “exceptions.” Today’s 1% can be tomorrow’s 100%.

5 CAPTURING INFORMATION

Capture everything and take pictures and audio recordings if possible: listen now, analyze later! **When you are capturing, build a rich picture.** Don’t edit or leave out things that don’t seem to fit; analysis happens afterward. When you’re constructing the picture, you can start to cluster information. Putting qualitative and quantitative information together allows your brain to see the bigger picture and come up with hunches.

6 MAKING DECISIONS

Review the captured information with the team. Use dot voting to find out what resonates as important, and decide if you need to dive deeper and do another iteration. When the rich picture doesn’t change so much between iterations anymore, it is time to make decisions. Compare your rich picture with what you thought during the Customer Journey exercise. How do they differ? **Do you need to revise your point of view?**

INTRODUCTION TO **VALUE PROPOSITION**

Great business models and strategies are based on great value propositions. Great value propositions focus on customers' jobs-to-be-done. Clayton Christensen developed this (jobs-to-be-done) framework as a helpful way to look at customer motivations in business settings.

Conventional marketing techniques teach us to categorize customers by attributes – age, race, marital status, and other qualities. Ultimately, however, this creates entire categories of products that are too focused on what companies want to sell, rather than on what customers actually need.

Evaluating the circumstances that arise in customers' lives is not always easy. Customers rarely make buying decisions based on what the “average” customer in their category might do. But they often buy things because they find themselves with a problem they would like to solve. This is where Clayton Christensen's jobs-to-be-done framework as well as value propositions are most useful.



Alex Osterwalder, Yves Pigneur, Greg Bernarda, and Alan Smith wrote the book *Value Proposition Design*, describing how to create products and services customers want.

By understanding the “job” for which their customers “hire” a product or service, companies can more accurately develop and market products well tailored to what customers are already trying to do.

A way to inform your point of view and learn about the jobs-to-be-done is to observe customers in real life. By observing customer

THE VALUE PROPOSITION CANVAS HELPS YOU DESIGN AND VALIDATE CUSTOMER JOBS.

behavior, you will learn from the true problems that need to be solved. Ask yourself before you start: What is YOUR job-to-be-done? Do you want to work on existing segments or new segments? This determines the focus in working with the Value Proposition Canvas (see page 106). Understand the customer profile (right-hand side), understand the value map (left-hand side), and look into the problem-solution fit or product-market fit (the middle).

PRODUCT VS. NEED

Do you need a drill? Or do you need a hole in the wall?

Do you need a robot? Or do you need to speed up production?

THE HUMAN CONTEXT

At Intel, we try to take a truly integrated view of innovation. We bring together the best ideas and methods, synthesizing them into the best approach to solve the challenges we have as a uniquely situated technology company. We are the underlying engine that powers computing across so many different contexts, and those contexts are expanding at a blistering pace.

Because the range is so broad, we leverage the social sciences and in-person interviews to understand the human context of people's lives and how technology both informs and is informed by socio-cultural dynamics. We also use tools to help us in understanding complex systems, borrowing from fields like ecology to explore how networks of interdependent actors affect one another.

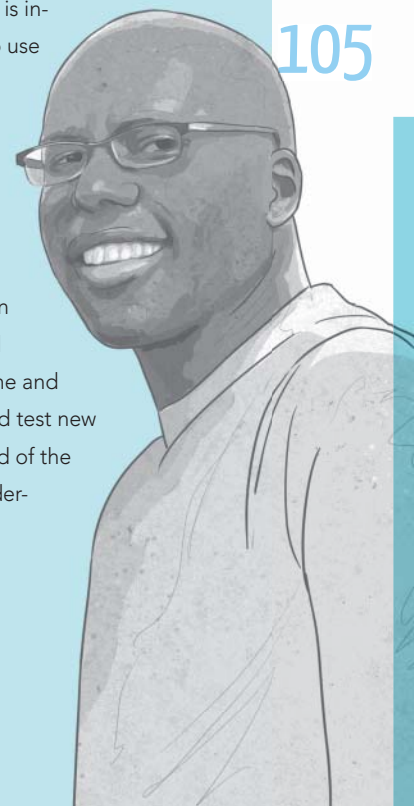
Given that our ideas at scale must become sustainable businesses, we utilize innovation tools and processes, from *Lean Startup* and *Business Model Generation*, to help us refine and improve the way we search for, discover, and test new values and new business models. At the end of the day what's important is that we have an understanding of human needs and are solving a meaningful problem.

Muki Hansteen-Izora
Senior Strategist,
Intel Labs

Do you need to arrange a funeral? Or do you need a worthy goodbye ceremony?

Most companies are product focused. But our focus should not actually be on the product. Products are there to help customers solve problems. Once you understand your customers' problems, you can do a better job innovating.

For example, Spotify learned that people, for the most part, aren't interested in "owning" music. It's not about "owning" records or CDs. They don't even want to store music on their hard drives – this entails work on their end. When it comes down to it, people simply want to listen to music. Thus, the difference between downloading a song and streaming the same song is becoming blurry. What's not blurry is that people want access to music. "If I can get that Justin Bieber song anywhere and anytime, what is the difference?" ■



TOOL **VALUE PROPOSITION CANVAS**



FOCUS

understand your
value proposition



±45 MIN

pressure cooker



3–5

people per group

When it comes time to really understand your customers, including their jobs-to-be-done, pains, and gains, as well as your offer to them, the Value Proposition Canvas, developed by Alex Osterwalder at Strategyzer, is one of the best tools available to help you.

ALWAYS START WITH THE CUSTOMER

To get started with the Value Proposition Canvas, always start with the customer. Of course, you may have many different customer segments that you serve (or want to serve). So, as a team, your first task is to have a discussion about who the customers actually are from a high level, whereupon you can make some decisions about who you are designing for. You may need to fill out several canvases, one for each customer.

ASK ENOUGH “WHYS”

Once you’ve made the customer decision, as a team – using sticky notes and permanent markers – start to detail your customer’s jobs-to-be-done. What social, emotional, and functional jobs does your customer do on a daily basis? They have some functional job that you know probably about. But you’ll also need to uncover how they do that job, how they feel, and what social qualities come into play. For instance, a parent with the job of driving a child to school may also have functional jobs of getting them there on time, ensuring they’re fed throughout the day, making sure they’re not looking like an outcast (social standing may be important), providing the feeling of being loved and appreciated, etc. Ask enough “whys” and you’ll get this info. Pains are usually easiest to get. What gets in the way of a person’s jobs? It’s gains that elude most first-time users of the

Value Proposition Canvas. Gains are NOT simply the opposite of pains. Instead, gains are the hidden ambitions people have, above and beyond pain relievers. It takes a designer’s mind to uncover these. This is where asking the right questions is really important. What does your customer really aspire to do that they cannot do now? Going back to the parent-driver example, perhaps it’s to look like a hero to their kids and other parents or to see their kids succeed in life. If gains sound somewhat existential to you, that’s probably because great gains often are.

YOUR JOB

Finally, once you’ve completed the right side of the canvas, move over to the left side. First, list some solution options that come to mind. You might have some already, or you might create some during an ideation session (detailed in the next chapter). With these in place, you’ll need to decide how these can be used together to address your customers’ jobs, pains, and gains in unique ways that resonate with your customers.

Using this canvas a few times will help you think differently about your customers and what you offer to them. What’s more, done well, your customers will think totally different about why they hired you to fulfill their needs in the first place. ■



DOWNLOAD
Download the Value Proposition Canvas from
www.designabetterbusiness.com

CHECKLIST

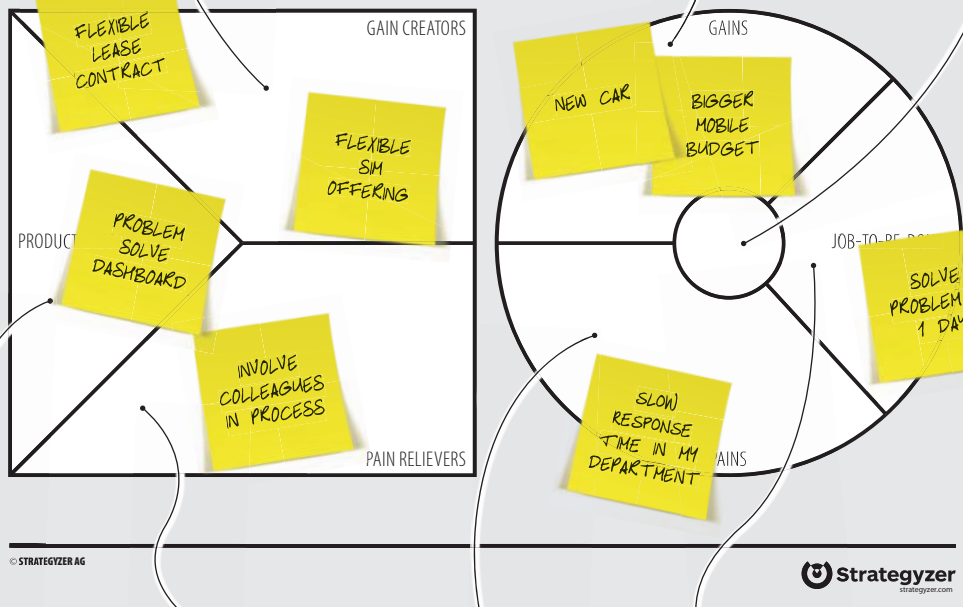
- ☐ You mapped one customer persona per canvas.
- ☐ You identified and prioritized at least 5 functional, social, and emotional jobs-to-be-done.
- ☐ You identified and prioritized at least 5 pains.
- ☐ You identified and prioritized at least 5 gains.
- ☐ The gain creators and pain relievers directly address the gains and pains.

NEXT STEP

- > Prototype and validate your assumptions.
- > Check your assumptions with customers. Is it the real job-to-be-done?

107

VALUE PROPOSITION CANVAS



GAIN CREATORS

What can you offer your customer to help him fulfill his gains? Be concrete (in quantity and quality).

GAINS

What would make your customer happy? What outcomes does he or she expect, and what would exceed their expectations? Think of the social benefits, functional or financial gains.

PERSONA

Who is he/she (e.g., profession, age). Is this persona buyer, user, decision maker?

PRODUCTS AND SERVICES

What are the products and services you can offer your customer so he can get his job done? How is it not a silver bullet?

PAIN RELIEVERS

How can you help your customer relieve his pains? Be explicit about how they can help.

PAINS

What is annoying or troubling your customer? What is preventing him or her from getting the job done? What is hindering your customer's activities?

JOB-TO-BE-DONE

What is the job your customer is trying to get done in work or life? These could be both functional and social. What basic needs do your customers have (emotional and/or personal)?

UNDERSTAND **YOUR CONTEXT**

It goes without saying that understanding the overarching context in which your company operates, such as who your competitors are and what trends you're seeing, will deliver insights about how your business must change in the future. However, most companies don't go far enough in this regard.

SIGNALS FROM THE FUTURE ARE ALL AROUND YOU

Trends and competitors will often only give you part of the picture. And, if you're only following what your competitors are doing, you risk missing something really important. You need a contextual frame that goes beyond the competitive landscape.

Understanding your context will give you a clear picture of today's trends as well as weak signals that will shape tomorrow. This kind of contextual assessment includes (at the very least) an understanding of market trends, technology trends, rules and regulations, economic climate, customer needs, competitors, and even uncertainties. It's important to not think about these signals, trends, facts, and competitors only as they are connected to your current busi-

**THE FUTURE IS
ALREADY HERE. IT'S
JUST NOT EVENLY
DISTRIBUTED.**

// William Gibson
Author and Essayist

ness. To really paint the picture you'll need for the future, go wider than your business. Who are the nascent competitors, the up-and-comers too new to call competitors (yet)? What are you uncertain about that might affect your future context? Election results? Gas prices?

THE BROADER CONTEXT

When Spotify hit the market, most people saw it as a direct challenge to the biggest competitor in the music industry at the time, Apple. Sure, this was part of the story. Apple helped to pave the way for most digital music companies. Though, if you look beyond Apple, what you'll find is that Spotify's founders also used their understanding of the broader context of the music industry to build a market-leading streaming music service. That context included cloud technology trends; customers' desire to listen to music and not necessarily own it; a changing regulatory environment (that Apple helped to create); and an economic environment that had record labels scrambling for new revenue streams.

KEEP ON SCANNING

Context is not static. It changes on a daily basis – and by the minute in some industries. Continuous understanding requires continuous scanning. As you develop clear pictures of today's context, you might also attempt to create a context for tomorrow, or five years from now, or perhaps even further out. What are the differences? What do you expect to change over time? And, as only time will tell which of your assumptions have been proven true or false, plan to update your understanding of context on a regular basis.

CURIOUS BY NATURE

I am a super-curious person. That's why I love my job! I am a professional trend watcher. I help companies make sense of the world around them. The keys to my job are to observe and structure information continuously. Twitter is my go-to tool. Tweeting automatically structures the information in my mind. But tweeting is not enough: to uncover trends I look for a "through line" that connects several tweets based on their context. Once I discover what I believe to be a trend, I reach out to my network to validate.

To do this yourself, start with a point of view. Why do you need this information? Then, collect and structure new information. Everyone in your network has information, but it's probably not organized. Explore the through lines with a framework for understanding. Look outside your industry. Find things you really have no clue about. Finally, frame the information. The frames you develop will reveal patterns and shifts or movements (e.g., from hierarchy to hub, from sending information to sharing information, etc.). This is a starting point for new ideas.

Farid Tabarki
Trend Watcher
Studio Zeitgeist

VISITING THE FUTURE

Visiting the future is not as hard as you probably think it is. In fact, as stated earlier, signals from the future are all around us. Though it may sound odd, some of the places you might consider visiting when looking for signals from the future are modern art museums, hack-a-thons, and even Burning Man, the annual counter-cultural gathering held in the Nevada desert. No need to wait though. There are plenty of signals from the future right on your mobile device. Social networks and even Twitter are filled with signals you might find relevant to your context.

The key here is that your current context (and future context) is not going to be captured in a single report. Any report that sides with your strategy (or disagrees with it) will only be one point of view. And, by the time this information hits the *Harvard Business Review*, it's likely that the context has already been established. It takes a team of people to map your context. Diversity will ensure that you have captured and assessed what are likely the most salient elements affecting your business today, as well as elements that may affect your business in the future. ■

TIP! Do not confuse understanding context with market research. Market research is invaluable to confirm or deny trends in a later stage of your journey. Understanding your current context serves primarily as a way to explore and weigh possibilities.

TOOL **CONTEXT CANVAS®**

Original created by David Sibbet, The Grove Consultants International



FOCUS

understand your context



±30 MIN

pressure cooker



3–5

people per group



The Context Map was originally developed by David Sibbet (The Grove). If you want to dive deeper, have a look at his book *Visual Meetings*.

The Context Canvas® is our framework to help you understand the context. Use this template to map out the trends with your team and share different perspectives. It will help you to look for drivers outside your own company and have a conversation about the forces that (could) shape your business now and in the future.

THINK BEYOND YOUR COMPANY

When most teams begin to unpack the context of their product or organization, they take a myopic point of view that is rooted in the here and now. The Context Canvas® is meant to help you and your team expand your thinking beyond the boundaries of your product and organization, to have a deeper conversation about what's going on in the world and what's changing that will affect your business in the future.

WORK IN SUB-TEAMS

The best way to use this Context Canvas® is to break your team up into smaller sub-teams and to assign each team a couple of sections of the canvas. You may even want to give the same team that has demographic trends the task to also cover technology trends.

Give each sub-team several minutes, maybe even up to 30 minutes, to have deep meaningful discussions about what's going on in the world for each section, adding these to sticky notes. There should be at least one sticky note per driver for each section. It must be reiterated that what is important here is expansion beyond what were drivers of the past and your own company or product. This is about

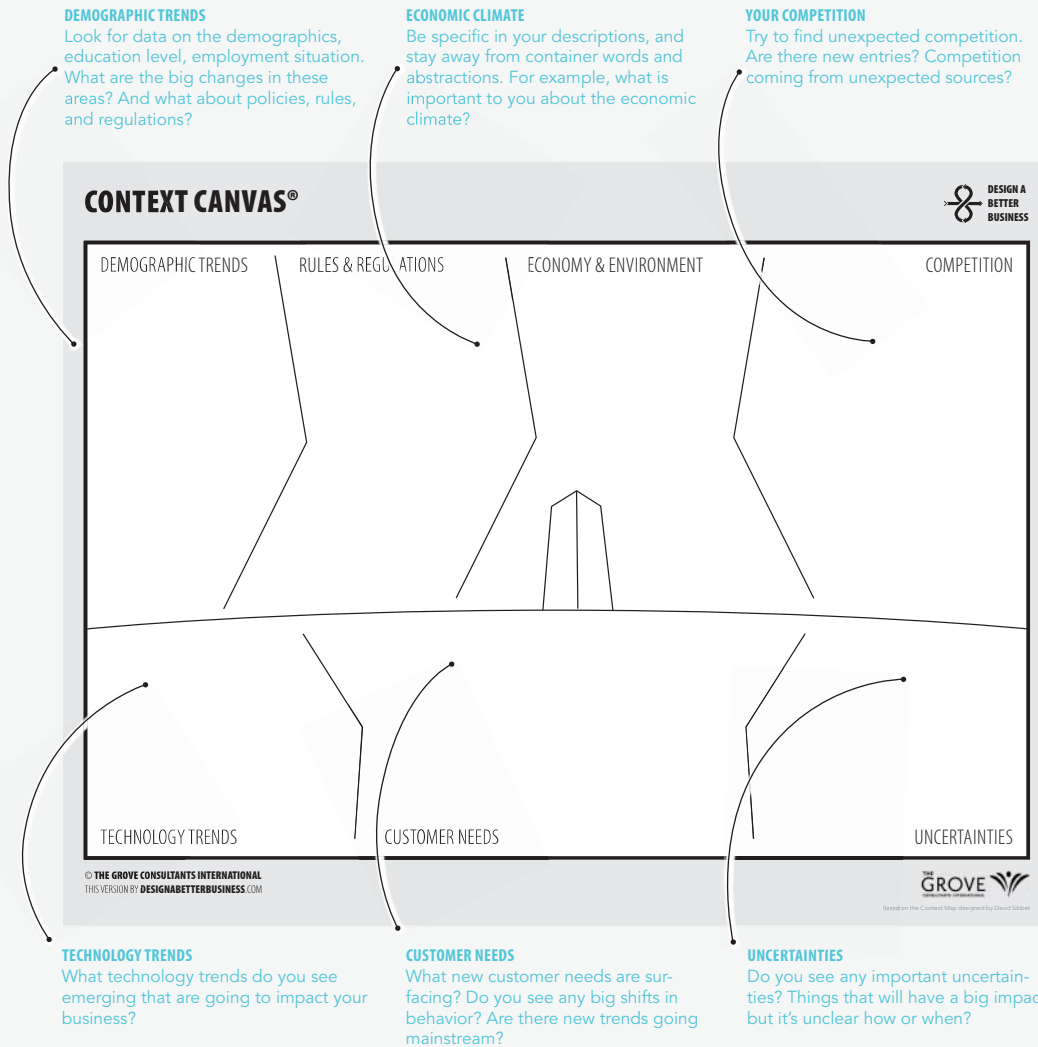
the full context of the industry you play in or the world at large that is going to drive your design criteria and options for the future.

CAPTURING THE KEY DRIVERS

Once all of the teams are finished discussing and capturing the key drivers for their sections, have a representative from each team, one at a time, add their sticky notes to a large, shared canvas (taped or drawn on the wall), discussing each driver as they put them up. This will spark further conversation with the rest of the teams about what's important and perhaps what other drivers might also be relevant.

COLLECTIVE POINT OF VIEW

With every section of the canvas totally filled out, have the entire (larger) team select the most important drivers that will influence the future of your organization, or at least your specific design journey. When you stand back from this, what you'll see is a glimpse of the future from the entire team's collective point of view, and not just one expert's opinion. ■



DOWNLOAD
Download the Context Canvas® from
www.designabetterbusiness.com

CHECKLIST

- ☐ You have completely filled all the areas of the canvas.
- ☐ You have proof of what is on the canvas.
- ☐ You have marked the top 3 threats and opportunities.

NEXT STEP

- > Find proof for your assumptions.
- > Check your findings against what others think.
- > Revisit the Context Canvas® in 3 months to update and verify.
- > Update your Point of View.
- > Update your Design Criteria.

EXAMPLE CONTEXT CANVAS® BNP PARIBAS FORTIS

CONTEXT CANVAS®



Cloud

SHADOW BANKING





SHARE THE URGENCY

My job is to translate challenges of management into numbers, images, and stories that everybody understands. I try to keep this simple by using metaphors. In 2014, I saw that the bank we used to know does not exist anymore, but we still believed in our old assumptions.

Overstating, in the past bankers needed to know only three figures: 3-6-3. Give 3 percent on debit, charge 6 percent on loans, and at three o'clock you can go play golf.

To be successful in today's world, everyone in the bank needs to be aware of the context. To help them do that I needed to tell a story that sticks, going beyond numbers and graphs, and to really engage my audience and inspire them to change the bank.

We co-created "The World of the Banks" with 2,000 colleagues and visualized the result with designers. In this way, the story is engaging and it can be understood in one glance, and we could easily share it with all of our colleagues.

Peter De Keyser
Chief Economist,
BNP Paribas Fortis

INTRODUCTION TO **BUSINESS MODEL**

When considering the future of your business, whether it's your overall strategy or some new product and/or service, you must first take some time to really understand your business inside and out. The Business Model Canvas provides a simple way to map the way your business – or any business – creates, delivers, and captures value.

UNDERSTAND YOUR BUSINESS MODEL

Understanding just how you add value to your customers' lives is crucial. This serves as the basis for any discussion about your business.

Who are your customers and what problems do you solve for them?
How do you deliver that value to them?

One of **the best ways to structure this information** is by using the Business Model Canvas. Since the publication of *Business Model Generation*, it's been found that the Business Model Canvas serves as a perfect platform on which to hold better, more strategic conversations built on a common understanding and with a common language.



For more background, read:
Business Model Generation
by Alexander Osterwalder and Yves Pigneur

DON'T ASSUME YOUR TEAM UNDERSTANDS YOUR COMPANY'S BUSINESS MODEL.

UNDERSTAND YOUR BUSINESS MODELS

If you work for a large organization, you might find varying value propositions and business models. Take a hospital, for example. An academic hospital consists of three separate business models at the highest level: 1) patient care; 2) education; and 3) research. Each of these business models has very different customers, value propositions, and revenue streams.

UNDERSTAND COMPETING BUSINESS MODELS

You can learn a lot from your competition. Choose some competitors and map their business models. Armed with this information, you'll have deep insight into what customers want and what they are willing to pay for. You'll have **a clearer picture of just how customers' needs are met across the entire industry**, not just in your company. And you'll uncover vital information about how other businesses, maybe even very successful businesses, have created their own spaces in the market.

UNDERSTAND BUSINESS MODELS IN AN INDUSTRY

Before entering into an industry with a new/startup idea, it's vital to have an understanding of the most common business models being used to exchange value with your potential customers. If,

SO MANY BUSINESS MODELS

In 2010 we wanted to design a new strategy, focused more on our patients. So where to start? We realized we had many different departments operating in the same hospital but in a different way.

They had different customers, different partners, and different value propositions. We realized we actually had a lot of different business models, so we started from the bottom up. We had to learn from each and every department in order to understand what their models looked like and how they were showing up in the hospital's business model.

Understanding their business model helped them to get a better insight in their own business and also in understanding the others.

(See page 117 for how Maastricht University Medical Center created their portfolio of Business Models.)

Frits van Merode

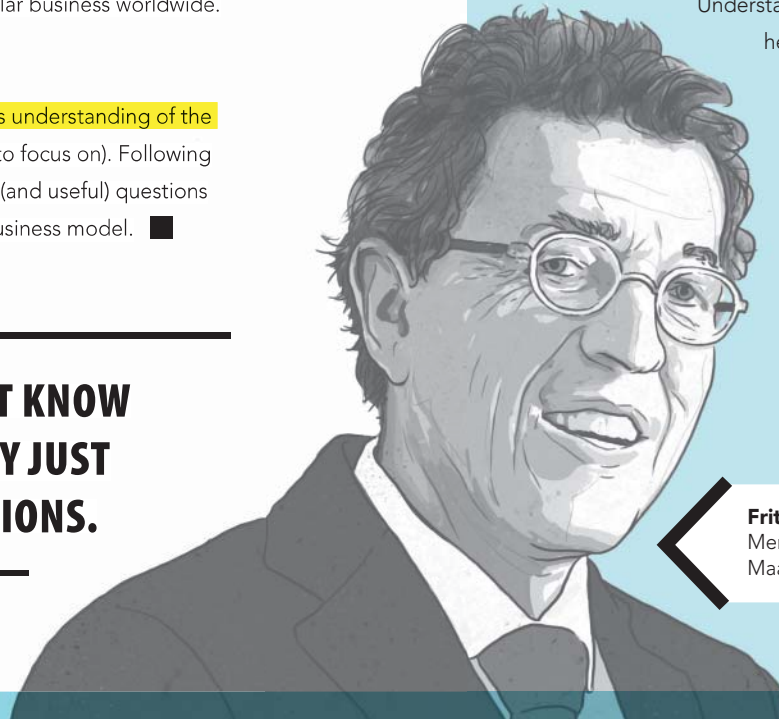
Member, Executive Board
Maastricht University Medical Center

for example, you plan to play in the climate space, specifically in solar energy, you'll want to understand how leading companies, like SunEdison, do business (and add value). Jigar Shah learned by studying the industry that customers were not willing to pay for solar panels, but were looking for ways to decrease their electricity bills. He started selling energy contracts instead of solar panels. He designed what he named the Power Purchase Agreement (PPA) Business Model. This business model changed the status quo, allowing companies to purchase solar energy services under long-term, predictably priced contracts while avoiding the significant capital costs of ownership and operation of solar panels. The SunEdison business model is recognized as one of the catalysts that helped turn solar into a multibillion-dollar business worldwide.

EVALUATE YOUR BUSINESS MODEL

Any business constantly seeks to improve its understanding of the customer segments it focuses on (or wants to focus on). Following on page 117 are seven of the most popular (and useful) questions Osterwalder has compiled to assess your business model. ■

MOST COMPANIES DON'T KNOW THEIR CUSTOMERS; THEY JUST KNOW THEIR TRANSACTIONS.



TOOL BUSINESS MODEL CANVAS

Created by Alexander Osterwalder

The Business Model Canvas is a great tool to help you understand a business model in a straightforward, structured way. Using this canvas will lead to insights about the customers you serve, what value propositions are offered through what channels, and how your company makes money. You can use the Business Model Canvas to understand your own business model or that of a competitor!



FOCUS

understand your business



45–60 MIN

session



3–5

people per group



The Business Model Canvas was created by Alex Osterwalder and Yves Pigneur. For more information, read their book: *Business Model Generation*.

VALUE PROPOSITION

What are your products and services? What is the job you get done for your customer?

KEY PARTNERS

List the partners that you can't do business without (not suppliers).

KEY ACTIVITIES

What do you do every day to run your business model?

KEY RESOURCES

List the people, knowledge, means, and money you need to run your business.

COST STRUCTURE

List your top costs by looking at activities and resources.

BUSINESS MODEL CANVAS

KEY PARTNERS	KEY ACTIVITIES	VALUE PROPOSITION	CUSTOMER RELATIONSHIPS	CUSTOMER SEGMENTS
	KEY RESOURCES		CHANNELS	
COST STRUCTURE		REVENUE STREAMS		

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CUSTOMER SEGMENTS

List the top three segments. Look for the segments that provide the most revenue.

CUSTOMER RELATIONSHIP

How does this show up and how do you maintain the relationship?

CHANNELS

How do you communicate with your customer? How do you deliver the value proposition?

REVENUE STREAMS

List your top three revenue streams. If you do things for free, add them here too.

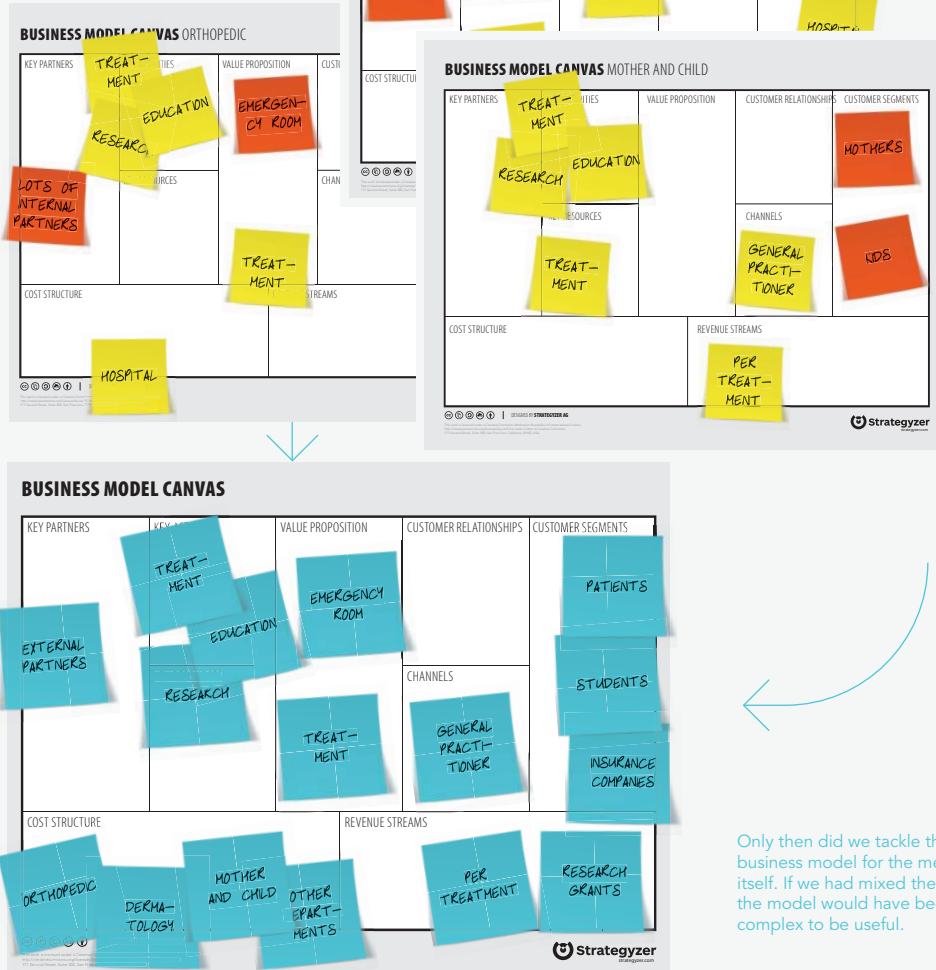
1 Start by mapping out the business on a high level: only the most important, vital aspects of the business model.

2 Link up the building blocks: every value proposition needs a customer segment and a revenue stream!

3 Don't mix ideas for a future state with what is going on right now, and don't mix different departments!

PORTFOLIO OF BUSINESS MODELS

At Maastricht University Medical Center, we first mapped the different departments, noting similarities and differences.



DOWNLOAD

Download the Business Model Canvas from
www.designabetterbusiness.com

CHECKLIST

Rank your business model's performance (0=bad – 10=excellent) for each question.

- ☐ How much do switching costs prevent your customers from churning?
- ☐ How scalable is your business model?
- ☐ Does your business model produce recurring revenues?
- ☐ Do you earn before you spend?
- ☐ How much of the work can be done by others?
- ☐ Does your business model provide built-in protection from competition?
- ☐ Is your business model based on a game-changing cost structure?

NEXT STEPS

- Filter out the design criteria and test your assumptions.

EXAMPLE **BUSINESS MODEL CANVAS** VISUAL

Sketching the Business Model Canvas can create a bigger picture and help you better engage your audience.

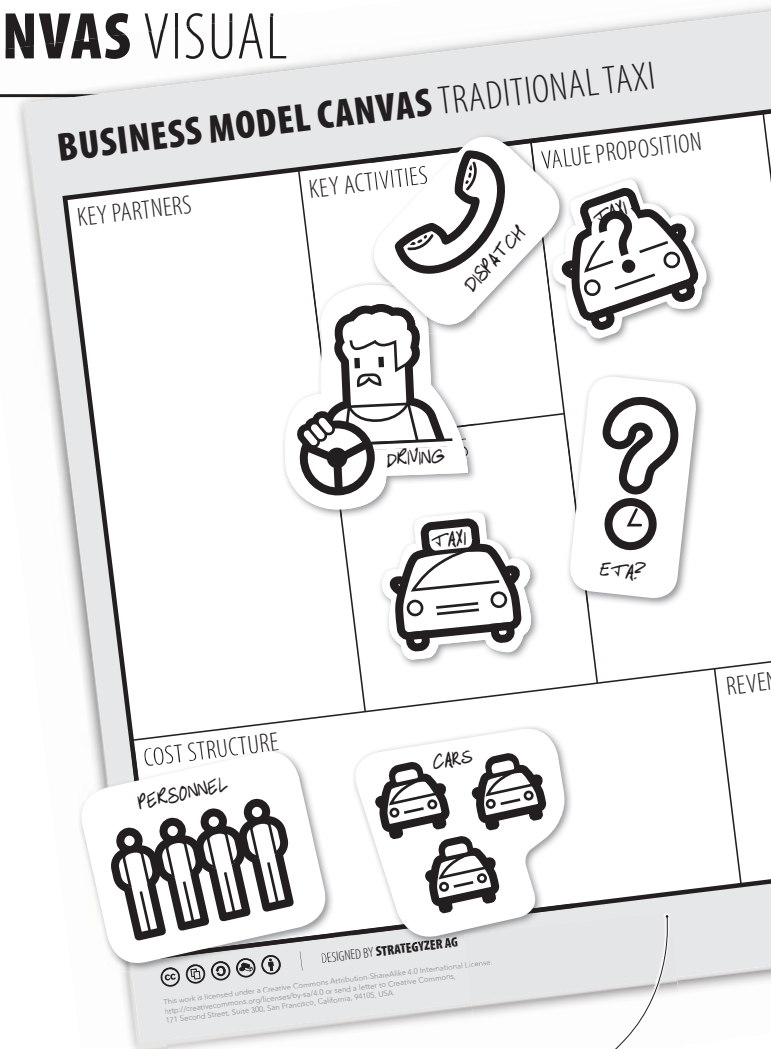
Details often get in the way of the main points of the Business Model Canvas: clarity, simplicity, and connectedness. “Diving into the weeds” leads to (unnecessary) discussion, which halts the creative process and the ability to see things for what they are. The solution: first do and then discuss. Focus on creating the bigger picture. This is what’s really important.

When creating your business model, that of your competitor’s or even when you want to compare different business models, the power is in the simplicity. Great business models are straightforward and simple. Add too many details to your business model, and your point of view will become foggy.

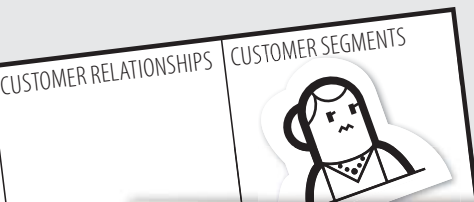
To simplify and clarify your point of view and the story you’re telling, use sketches or pictures instead of words. Even better, puzzle your business model together using hand-drawn icons cut out from a template. For more on visual storytelling, see page 72.



Download your own set of icons at
www.designabetterbusiness.com

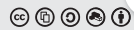
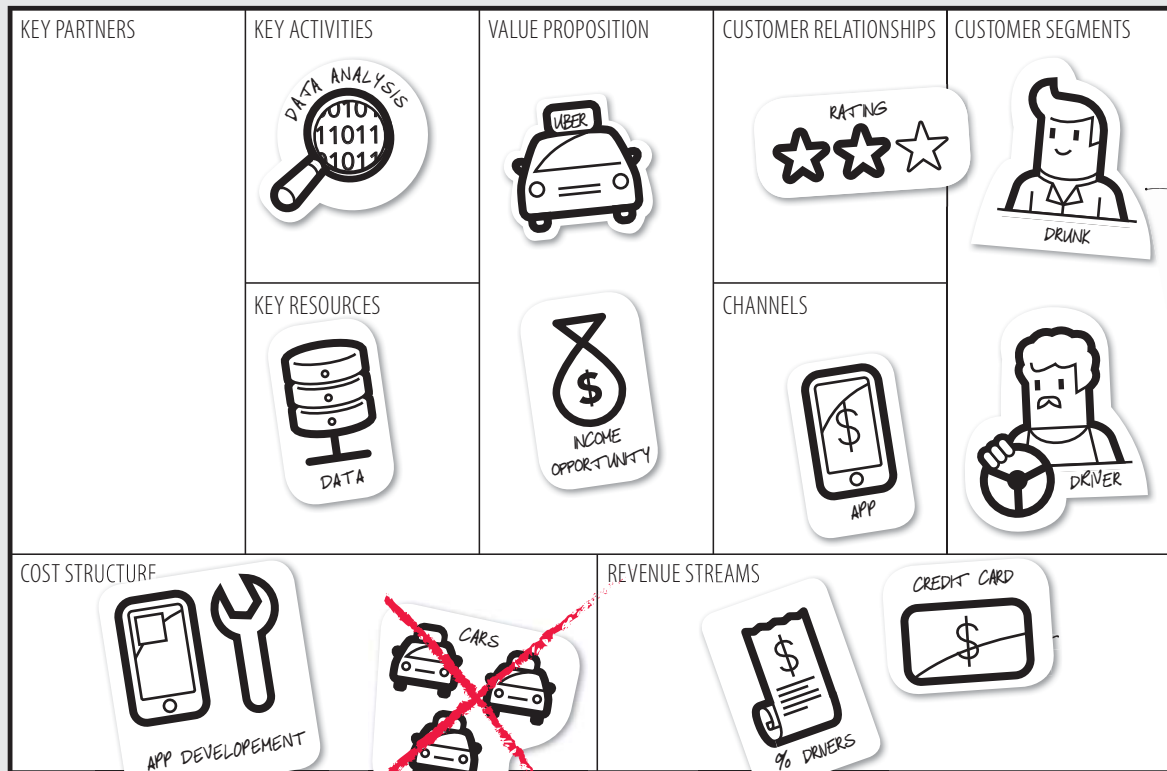


THIS IS AN EXAMPLE OF THE TRADITIONAL TAXI COMPANY BUSINESS MODEL. THE TAXI MODEL IS LINEAR AND LACKS A CONNECTION WITH (CURRENT) CUSTOMER NEEDS.



AS AN EXAMPLE WE HAVE COMPOSED TWO BUSINESS MODELS: ONE FOR A TRADITIONAL TAXI COMPANY AND ONE FOR UBER. WITH THESE IT'S EASY TO COMPARE BOTH MODELS AND UNCOVER THEIR STRENGTHS AND WEAKNESSES.

BUSINESS MODEL CANVAS UBER



DESIGNED BY STRATEGYZER AG

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UBER'S BUSINESS MODEL IS A MULTISIDED PLATFORM, CREATING VALUE BY MATCHING TWO DIFFERENT CUSTOMER SEGMENTS: DRIVERS=FOR-HIRE AND PEOPLE WHO NEED TO GO FROM A TO B. UBER'S STRENGTHS ARE THE DATA THE PLATFORM GENERATES AND THE TRANSPARENCY OF ORDERING A RIDE.



UNDERSTANDING HACKS

ONLINE SAFARI

In the age of the Internet it would be silly not to take an online safari. There are several tricks for getting a quick idea of what people are actually doing online. Take a look at your own user forum or that of a competitor. What are people complaining about? What conversations are they having? Use Twitter to get in touch with people that write about similar products. What kind of pictures do they post on social media? Are there any video blogs or YouTube channels that cover similar topics? How popular are they? What trends can you find there? You can get a lot of information in a very short amount time if you start following some online leads!

See page 102
for more
information
on the customer
safari.

DO IT YOURSELF

It pays to step into your customer's shoes for a while. If you really want to understand your customers and their preferences, slip into their shoes, do what they do, and shop where they shop. We learned this trick from an expert retail food marketer. If you're interested in understanding what attracts customers, go to the stores they shop at, observe them, and start pulling things off the shelf that attract you. Compare what you bought with what you see in customers' shopping carts. You'll likely find customer segments that stick together and look for similar qualities in the things they buy. Best of all, you'll quickly learn what attracts customers to your competition.



BE THE BARISTA!

When you really want to surprise your customers and put them into a different state of mind, consider going the extra mile. Find (or build) a nice coffee cart and add to it everything you need to get people talking. Making the rounds in a place where your customers hang out is guaranteed to put a smile on their faces. You'd be surprised at what people tell their barista! What we're actually saying: be a perfect host(ess) and facilitate the interaction.

DO THE COFFEE CHALLENGE...

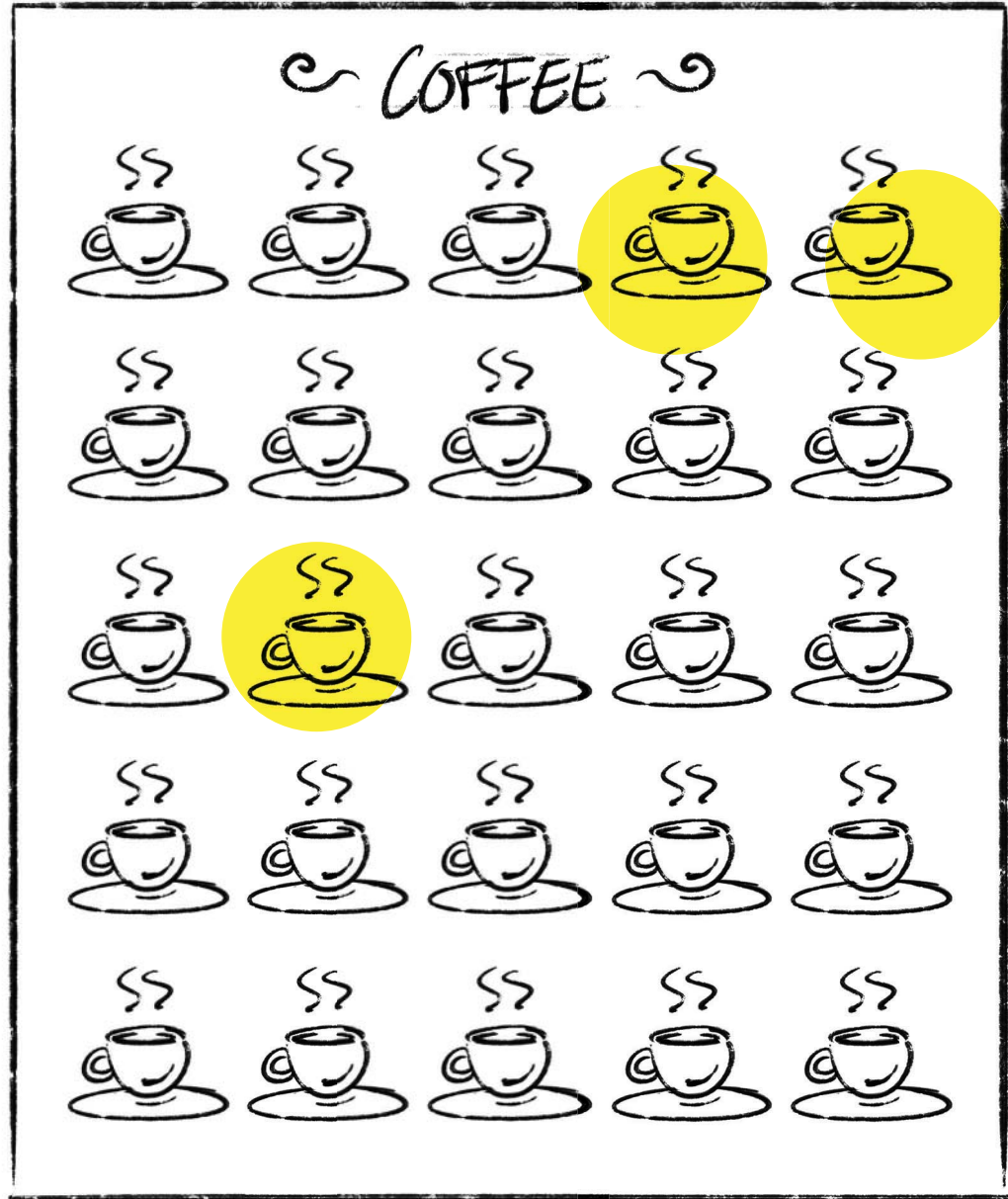


To help your team get over their initial uneasiness at getting out of the building, consider the coffee challenge.

We created this in a program for the Impact Hub: drink 25 cups of coffee with customers in the coming 2–3 weeks.

Every time you have a conversation, cross off a cup from the list. The person who clears the card the fastest wins! And the entire team wins every time someone comes back with a new or validating insight they learned while drinking coffee with a customer.

Be sure to set this up as an internal challenge! You will learn about a lot of coffee shops and even more insights!



YOU NOW HAVE . . .

- > AN UNDERSTANDING OF
HOW TO **OBSERVE AND ASK
QUESTIONS** P86–88
- > AN UNDERSTANDING OF
YOUR CUSTOMER NEEDS P106
- > AN UNDERSTANDING OF
YOUR CONTEXT P110
- > AN UNDERSTANDING OF
YOUR BUSINESS MODELS P116

NEXT STEPS

- > **GENERATE IDEAS** P140
By using some practical techniques
that help you and your team
become creative geniuses.
- > **APPLY INNOVATION TECHNIQUES** P146
The Innovation Matrix helps you
filter out your best ideas.

RECAP

HOW MANY COFFEES ARE YOU
WILLING TO DRINK **WITH YOUR
CUSTOMERS?**

GO **BEYOND THE OBVIOUS.**

DON'T ASSUME YOUR TEAM
MEMBERS UNDERSTAND YOUR
BUSINESS MODEL.

IT'S NOT ABOUT THE ANSWERS.
IT IS ABOUT **THE RIGHT
QUESTION.**

IF YOU DON'T KNOW WHERE
YOU ARE, HOW CAN YOU **KNOW
WHERE YOU ARE GOING?**
